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Turkey

Oilseeds and Products Update

September 2013 Oilseeds and Products Update

Approved By:

Jess K. Paulson, Agricultural Attache

Prepared By:

Ibrahim Sirtioglu, Sr. Agricultural Marketing Specialist

Report Highlights:

Marketing year (MY) 2013 sunflower seed area and production is now estimated at 700,000 hectares and a record 1.4 million metric tons (MMT). High prices of sunflower seed in MY 2012 due to low production in all of the Black Sea suppliers had caused increases in planting in almost all regions of Turkey and triggered production. Despite the increase in planting area heavy rains forced replanting in the Thrace region that adversely affected overall yields. While sunflower seed meal imports declined due to lack of supplies in the exporting countries and increased alternative feed product imports such as DDGS imports, sun oil imports continued to be strong due an increase in domestic consumption and strong exports. Turkish exports of refined sunflower seed oil to neighboring countries are expected to continue to be strong in MY 2013.

Post:
Ankara

Commodities:
Oilseed, Sunflowerseed

Production

MY 2013 sunflower seed area and production are now estimated at 700,000 hectares and 1.4 MMT, a record production. Further increase in production was prevented by strong rains in the beginning of the season, particularly in the Thrace region, that required replanting preventing higher yields. Turkey has a net deficit in sunflower seed production. The sustainability of large production will depend on farmer satisfaction with income this year. Presently large production in the Black Sea area had lowered the world price for sun seed and oil.

The government of Turkey (GOT), in an effort to protect local farmers from an inflow of cheaper imports has increased the minimum import prices for both commodities to \$650 per MT for sunflower seed and \$1,500 per MT for oil, up from \$525 per MT and \$1,450 per MT respectively.

Turkey has a large crushing capacity, about 3.5 MMT, and Turkish crushers are willing to fulfill their crushing capacity with seeds, whether domestically produced or imported. In MY 2013 production of both sunflower seed meal and oil is forecast to increase twelve percent reaching 1.04 MMT and 0.83 MMT due to the availability of local and Black Sea origin raw material.

Consumption

Utilization of sun meal in poultry and livestock rations declined somewhat during MY 2012 due to tight supplies and a relaxation on the import of other feed items such as DDGS. Consumption of sun meal will recover in MY 2013 due to continued increases in the domestic production of poultry meat, eggs and livestock.

Sun oil consumption is continuing to increase, benefiting from the decline in corn oil consumption caused by concerns with biotech products.

Trade

Total imports of sunflower seed for crushing became 622,000 MT during the first eleven months of MY2012, down about 200,000 MT compared to last year due to a lower crop as a result of dry weather in the Black Sea region. Neighboring Black Sea countries Moldova (178,000 MT), Bulgaria (176,000 MT), Romania (150,000 MT) and Ukraine (88,000 MT) continued to be the main suppliers.

Due to the lack of supplies in the Black Sea region and larger imports of other feed items such as DDGS, Turkey's sunflower seed meal imports declined to 429,148 MT during the first eleven months of MY 2012 compared to 720,000 MT of MY 2011. Turkey continued to source its sunflower seed meal deficiency from Russia (298,000 MT), Ukraine (121,000 MT) and Romania (6,500 MT) and Moldova (3,000 MT).

Turkish imports of crude sunflower seed oil also remained high to meet export demand reaching 608,000 MT during the first eleven months of MY 2012. Russia and Ukraine were the main suppliers with 330,000 MT and 274,000 MT respectively.

Turkey's refined sunflower seed oil exports were about the same as last year at 258,000 MT during the first eleven months of the MY 2012. Iraq was the main destination (165,000 MT) followed by Syria (35,000 MT) and Lebanon (14,000 MT).

Turkey's low-cost mixed vegetable oil exports were also close to the same period last year at 216,000 MT, of which about eighty percent is estimated to be sun oil and the rest are combination of other vegetable oils such as cotton oil and canola oil. Iraq continues to be the main buyer of Turkish mixed oil with 197,000 MT followed by Syria 8,000 MT. Total refined sunflower seed oil exports, the two categories combined, is estimated about 420,000 MT during the first eleven months of MY 2012. Export trends are expected to continue in MY 2013 as well.

Important note: PSD export figures for sun oil reflects total sun oil exports, refined and sun oil in mixed vegetable oil combined to reflect the real number of exports. While 151219 sunflower seed oil category is taken as it is, eighty percent of the 151220 category of vegetable oil is added to the 151219 figure to reach the total sunflower seed oil number on PSD.

Oilseed, Sunflowerseed	2011/2012	2012/2013	2013/2014
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Turkey						
	Market Year Begin: Sep 2011		Market Year Begin: Sep 2012		Market Year Begin: Sep 2013	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	580	490	580	600	690	700
Area Harvested	490	490	590	600	690	700
Beginning Stocks	235	70	269	80	127	100
Production	925	925	1,075	1,125	1,400	1,400
MY Imports	834	830	630	670	750	600
MY Imp. from U.S.	1	0	0	0	0	0
MY Imp. from EU	310	240	350	360	350	450
Total Supply	1,994	1,825	1,974	1,875	2,277	2,100
MY Exports	38	5	40	5	50	5
MY Exp. to EU	0	0	0	0	0	0
Crush	1,680	1,735	1,800	1,715	2,033	1,970
Food Use Dom. Cons.	4	3	4	3	4	3
Feed Waste Dom. Cons.	3	2	3	2	3	2
Total Dom. Cons.	1,687	1,740	1,807	1,770	2,040	1,975
Ending Stocks	269	80	127	100	187	120
Total Distribution	1,994	1,825	1,974	1,875	2,277	2,100
CY Imports	820	750	550	650	600	650
CY Imp. from U.S.	0	0	0	0	0	0
CY Exports	35	3	35	5	30	5
CY Exp. to U.S.	0	0	0	0	0	0
TS=TD		0		0		0
Comments						

Meal, Sunflowerseed	2011/2012	2012/2013	2013/2014
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Turkey						
	Market Year Begin: Sep 2011		Market Year Begin: Sep 2012		Market Year Begin: May 2013	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	1,680	1,735	1,800	1,715	2,033	1,970
Extr. Rate, 999.9999	0.	0.5418	0.	0.5394	0.	0.5279
Beginning Stocks	0	0	92	100	0	100
Production	640	940	687	925	775	1,040
MY Imports	739	739	450	475	600	450
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	40	0	7	0	40
Total Supply	1,379	1,679	1,229	1,500	1,375	1,590
MY Exports	2	2	0	0	0	2
MY Exp. to EU	0	0	0	0	0	0
Industrial Dom. Cons.	0	0	0	0	0	0
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	1,285	1,577	1,229	1,400	1,375	1,508
Total Dom. Cons.	1,285	1,577	1,229	1,400	1,375	1,508
Ending Stocks	92	100	0	100	0	80
Total Distribution	1,379	1,679	1,229	1,500	1,375	1,590
CY Imports	728	728	600	600	600	700
CY Imp. from U.S.	0	0	0	0	0	0
CY Exports	2	0	0	2	5	5
CY Exp. to U.S.	0	0	0	0	0	0
SME	1,213	1,489	1,160	1,322	1,298	1,424

Oil, Sunflowerseed	2011/2012	2012/2013	2013/2014
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Turkey						
	Market Year Begin: Sep 2011		Market Year Begin: Sep 2012		Market Year Begin: Sep 2013	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	1,680	1,735	1,800	1,715	2,033	1,970
Extr. Rate, 999.9999	0.	0.4409	0.	0.4315	0.	0.4213
Beginning Stocks	70	70	237	142	382	130
Production	718	765	769	740	868	830
MY Imports	651	651	650	650	700	600
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	3	3	0	1	0	1
Total Supply	1,439	1,486	1,656	1,532	1,950	1,560
MY Exports	271	463	280	485	350	480
MY Exp. to EU	0	2	0	0	0	0
Industrial Dom. Cons.	25	30	25	30	25	30
Food Use Dom. Cons.	884	828	944	857	1,050	890
Feed Waste Dom. Cons.	22	23	25	30	25	35
Total Dom. Cons.	931	881	994	917	1,100	955
Ending Stocks	237	142	382	130	500	125
Total Distribution	1,439	1,486	1,656	1,532	1,950	1,560
CY Imports	743	743	700	700	650	650
CY Imp. from U.S.	0	0	0	0	0	0
CY Exports	271	508	300	500	300	500
CY Exp. to U.S.	0	0	0		0	0
TS=TD		0		0		0